

25. Constraining Monthly Losses Is Only a Good Idea if It Is Consistent with the Trading Strategy

Although tightly constraining monthly losses is a prudent action for many traders, for investors with a long-term perspective, monthly loss constraints can be detrimental. Taylor, for example, believes that if he has a strong conviction that a stock will move much higher over the long term, then cutting exposure on interim weakness to limit the depth of a monthly loss would be a mistake. Similarly, Greenblatt asserts that value investors must maintain a longer-term perspective and not be swayed by interim losses, providing the fundamentals haven't changed. For longer-term investors, such as Taylor and Greenblatt, monthly loss constraints would be in conflict with their strategy.

26. The Power of Diversification

Dalio calls diversification the "Holy Grail of investing." He points out that if assets are truly uncorrelated, diversification could improve return/risk by as much as a factor of 5:1.

27. Correlation Can Be Misleading

Although being cognizant of correlation between different markets is crucial to avoiding excessive risk, it is important to understand that correlation measures *past* price relationships. It is only relevant if there is reason to believe that the past correlation is a reasonable proxy for future correlation. Some market correlations are stable, but others can vary widely and even change sign. For example, stocks and bonds sometimes move in the same direction and sometimes move inversely. If correlation is used during such a transition period, it can be worse than no information at all